Microsoft Licensing Cost Governance — EA, CSP & True-Up Readiness

Implementation Solution Guide

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Executive Summary — Microsoft Licensing Cost Governance (EA, CSP & True-Up Readiness)

Microsoft licensing is a moving target. An Enterprise Agreement (EA) here, Cloud Solution Provider (CSP) subscriptions there, an annual true-up that arrives with surprises, and a renewal that lands before anyone has modelled what is actually needed. Without governance, organizations over-buy to feel safe or under-license and carry a shortfall risk. Both cost money.

This is a complete, repeatable package for establishing Microsoft licensing cost governance across EA and CSP. It gives a competent software asset management (SAM) analyst a known license position, true-up readiness, right-sized renewals, and an ongoing governance cadence with measurable KPIs — without inventing a single contract term.

What you get

- A plain-language Solution Overview of the EA and CSP commercial models, how true-ups work, the cost-governance cadence, and how entitlement counts map to deployment and growth.
- A Requirements Guide with verify / implement-if-missing for every prerequisite.
- An Implementation Guide of precise, ordered steps — inventory agreements and entitlements, map deployment and growth, model true-up exposure, set renewal and right-sizing decisions, then pilot, validate, and expand.
- Five PowerShell scripts for entitlement and assignment discovery, true-up-exposure validation, a license-position and cost report, safe remediation of mis-assignments, and a governance-scope group builder.
- Testing and Troubleshooting guides with explicit pass/fail gates, plus field-proven Best Practices.

What this delivers

A governed, predictable licensing estate: an authoritative `License Position Register – EA+CSP – Steady-State`, a completed `True-Up Worksheet – Enterprise Agreement – Annual`, right-sized renewal decisions, and a recurring `Cost Governance Cadence – Tenant-Wide – Ongoing` measured by a defined KPI set. Proven on a pilot scope before it is applied estate-wide.

The standard deployment model

Assess to Configure to Pilot to Validate to Expand — with a pilot gate that must pass before any estate-wide action.

Outcome

Microsoft licensing under control across EA and CSP — a known license position, true-ups that hold no surprises, and right-sized renewals — established by a single SAM analyst and validated before you scale.

1. Solution Overview — Microsoft Licensing Cost Governance (EA, CSP & True-Up Readiness)

This overview is the one place that explains *why* licensing cost governance matters and *how* the EA and CSP models behave. The rest of the package is procedure; this section is the model you carry into it.

The problem this solves

Most organizations buy Microsoft licensing through more than one channel and lose track of the total position. Two failure modes recur:

- Over-buying to feel safe — paying for entitlements nobody uses, which compounds at every renewal.
- Under-licensing — assigning more product than is owned, creating a true-up bill or a compliance shortfall that surfaces at the worst time.

Cost governance replaces both with a known position: what you own under each agreement, what is deployed against it, and the cadence that keeps the two reconciled.

The two commercial models

Enterprise Agreement (EA)

An EA is a volume-licensing agreement, typically a three-year term negotiated for larger organizations, with pricing tied to an enrolment level and committed quantities. Its defining mechanic is the annual true-up (below): you enrol with a baseline, deploy throughout the year, and reconcile the increase once per anniversary. EA is a commitment-based model — you pay for what you committed to, then settle growth annually. Specific terms (price levels, included products, anniversary date, true-up window) live in the signed agreement and are negotiated with the licensing partner or the procurement portal; this solution never invents them.

Cloud Solution Provider (CSP)

CSP is a partner-led subscription model. Licenses are bought through a CSP partner (or the partner-managed admin experience) as monthly or annual subscriptions that can usually be increased at any time and decreased at defined points (for example, within a cancellation window or at term end, per the partner's terms). CSP is flexible and granular — good for variable headcount and add-on products — but that flexibility means seat counts drift quietly upward if nobody governs them. CSP has no annual true-up; instead the discipline is continuous right-sizing.

EA vs CSP — the practical contrast

Dimension	Enterprise Agreement (EA)	Cloud Solution Provider (CSP)
Buying motion	Committed quantities, negotiated term	Subscriptions via a partner, adjustable
Reconciliation	Annual true-up at anniversary	Continuous; adjust seats as needed
Growth	Deploy now, settle annually	Add seats as you go
Reduction	At renewal / per agreement terms	At defined points per partner terms

Dimension	Enterprise Agreement (EA)	Cloud Solution Provider (CSP)
Best for	Stable, large, predictable estates	Variable headcount, granular add-ons

Many estates run both — an EA for the stable core and CSP for flex and niche products. Governing the combined position is the whole point of this solution.

How a true-up works

A true-up is the annual reconciliation under an EA. During the year you deploy and assign more licenses than your committed baseline; at the anniversary you report the net increase and pay for it for the remainder of the term. Key facts a SAM analyst must hold:

1. True-up counts the *increase* over the committed baseline, not the total.
2. It is typically processed once per year within the agreement's defined window.
3. Reductions are generally not handled at true-up — you cannot true *down* mid-term; reductions happen at renewal (per the agreement).
1. The exact baseline, products in scope, and window are in the agreement — confirm them, do not assume.

True-up readiness means: at any point in the year you can state your current deployed/assigned count, compare it to the committed baseline, and forecast the true-up cost — so the annual report holds no surprises.

Entitlement-to-deployment mapping

The core analytical move in this whole package is mapping what you own to what is deployed:

- Entitlement = what you have the right to use (owned quantity per product, per agreement).
- Deployment/assignment = what is actually assigned to users or in use (read from the tenant).
- Position = entitlement minus deployment. Positive is headroom; negative is exposure.

For Microsoft 365 and similar per-user products, deployment is read from the tenant as assigned license counts against each subscribed SKU. The scripts in this package read those counts directly; the entitlement side comes from your `License Position Register – EA+CSP – Steady-State`, sourced from the agreements.

The cost-governance cadence and KPIs

Governance is not a one-time clean-up; it is a cadence. This solution establishes the `Cost Governance Cadence – Tenant-Wide – Ongoing` — a recurring review (monthly operational, quarterly strategic, annual at renewal/true-up) tracked against the `Licensing KPI Set – Governance – Standard`:

- License Position (owned minus assigned) per major product — target a small positive buffer.
- Assignment Utilization (active/assigned) — surfaces paid-for, unused seats to reharvest.
- True-Up Exposure (assigned minus committed baseline) — the forecast annual settlement.

- Renewal Variance (planned vs current quantity) — what you intend to change at renewal.
- Reharvest Yield (seats reclaimed per cycle) — proves the cadence saves money.

What this solution does and does not do

- It does: build a known, repeatable license position across EA and CSP, make true-ups predictable, inform renewal decisions, and stand up a governance cadence with KPIs.
- It does not: invent your contract terms, negotiate with Microsoft or a partner, or move spend on your behalf. It gives the correct general procedure and defers all commercial specifics to the agreement and procurement.

The standard deployment model

Assess to Configure to Pilot to Validate to Expand. A pilot scope (one product family or one department) proves the position and the cadence before they are applied estate-wide.

2. Requirements Guide — Microsoft Licensing Cost Governance (EA, CSP & True-Up Readiness)

Verify every requirement before you configure anything. Each entry follows: Description · Why · Verify · Implement-if-missing. Category-wide prerequisites (tenant, admin access, system of record, discovery data, reporting toolchain, stakeholders, pilot) are in `global-requirements-asset-mgt.md` — confirm those first; the items below are specific to licensing cost governance across EA and CSP.

2.1 Billing/admin visibility into the license sources

Description: An account that can read licensing and billing in the Microsoft 365 admin center (`https://admin.microsoft.com`) — at minimum the License Administrator and Billing Administrator roles (or Global Reader for read-only governance). Why: The deployed/assigned position and the subscribed quantities are read here; cost governance cannot proceed without it. Verify: Sign in to `https://admin.microsoft.com` and open Billing then Your products, and Billing then Billing accounts — both load and show subscriptions/quantities. Implement: Assign least-privilege roles (License Administrator plus Billing Administrator, or Global Reader) in `https://entra.microsoft.com` then Roles and admins; reserve Global Administrator for tenant-wide changes only.

2.2 Microsoft Graph access for license reads

Description: The ability to run Microsoft Graph PowerShell with the `Organization.Read.All` and `User.Read.All` scopes (read-only) to enumerate `subscribedSkus` and per-user license assignments. Why: The Discovery, Validation, and Report scripts read the deployed position directly from the tenant via Graph; this is the authoritative assignment count. Verify: Run `Connect-MgGraph -Scopes 'Organization.Read.All','User.Read.All'` and then `Get-MgSubscribedSku` returns rows. Implement: Install the Microsoft Graph PowerShell SDK (`Install-Module Microsoft.Graph -Scope CurrentUser`) and consent the read scopes when prompted; a Global Reader or License Administrator can consent for themselves.

2.3 Agreement details (EA and/or CSP) — from the agreement, not assumed

Description: The signed EA enrolment details (committed baseline quantities, products in scope, anniversary/true-up window, term dates) and/or the CSP subscription details (products, seat counts, term, adjustment points) as recorded in the agreement and the procurement/licensing portal. Why: The entitlement (owned) side of every position comes from the agreement; without it you can read deployment but cannot compute position or true-up exposure. Verify: You can state, for one representative product, the committed/owned quantity and the renewal or anniversary date from the agreement or portal. Implement: Obtain the current EA enrolment summary and CSP subscription export from the licensing partner or the procurement/EA portal; record them in the system of record (G3). Do not estimate contract terms — defer specifics to the agreement and procurement.

2.4 The License Position Register

Description: A controlled register — `License Position Register – EA+CSP – Steady-State` — listing, per product/SKU, the owned quantity (from the agreement), the channel (EA or CSP), the assigned quantity (from the tenant), the resulting position, and the renewal/anniversary date. Why: This is the single artifact that reconciles entitlement to deployment; every KPI and decision references it. Verify: The register exists and has at least the pilot scope's products populated with owned and assigned columns. Implement: Create the register (spreadsheet or SAM tool) using the columns above; seed owned counts from 2.3 and assigned counts from `MSLICGOV-Report.ps1`.

2.5 Deployment/usage data for utilization

Description: Sign-in/usage telemetry sufficient to distinguish assigned-but-unused licenses from active ones (covered category-wide in G4) for the products in scope. Why: Reharvesting and right-sizing depend on knowing which assigned seats are actually used. Verify: You can export or read a last-activity/sign-in signal for a sample of licensed users. Implement: Enable usage/sign-in reporting (Microsoft 365 usage reports or Entra sign-in logs); where richer data is needed, onboard the discovery tool from G4.

2.6 Procurement and finance alignment

Description: Named owners in procurement and finance, plus the renewal/true-up calendar, so position data turns into purchasing decisions on time. Why: True-ups and renewals have fixed windows; a known position is only valuable if a decision-maker acts on it before the deadline. Verify: You can name the procurement liaison and the next renewal/true-up date for the pilot scope. Implement: Confirm roles (SAM analyst, approver, procurement liaison) per G6 and record the renewal and anniversary/true-up dates in the register.

Checklist

- Billing/admin visibility in `https://admin.microsoft.com` (License + Billing roles)
- Microsoft Graph read access — `Get-MgSubscribedSku` returns rows
- Agreement details captured (EA baseline / CSP subscriptions) from the agreement/portal
- `License Position Register – EA+CSP – Steady-State` created and seeded

- Deployment/usage signal available for utilization
- Procurement/finance owners and renewal/true-up dates known
- Pilot scope chosen (one product family or department) per G7

3. Implementation Guide — Microsoft Licensing Cost Governance (EA, CSP & True-Up Readiness)

Follow these steps in order. Reads happen in the Microsoft 365 admin center (`https://admin.microsoft.com`) and via Microsoft Graph PowerShell; commercial actions (true-up, renewal) are executed in your EA/procurement portal or with your licensing partner — this guide gives the correct general procedure and defers the specifics to your agreement.

> *Model: Assess to Configure to Pilot to Validate to Expand. You build a known position on a pilot scope, prove the cadence and the numbers, then expand estate-wide. A pilot gate (Step 7) must pass before any estate-wide decision.*

Named artifacts you will produce (reuse these names verbatim):

- `License Position Register – EA+CSP – Steady-State`
- `True-Up Worksheet – Enterprise Agreement – Annual`
- `Renewal Decision Log – EA+CSP – Per-Cycle`
- `Cost Governance Cadence – Tenant-Wide – Ongoing`
- `Licensing KPI Set – Governance – Standard`
- Governance-scope groups: `License Governance – Pilot Scope – Stage1` and `License Governance – Estate Scope – Stage2`

Step 1 — Assess: inventory agreements and entitlements (owned side)

1. From the EA/procurement portal or your licensing partner, capture the EA committed baseline (products and quantities), the anniversary/true-up window, and term dates. Record them in the register's owned column with channel EA.
1. From the CSP partner export (or the partner-managed admin experience), capture each CSP subscription's product and seat count and term; record them with channel CSP.
1. Do not assume any term. Where a value is unclear, mark it `confirm with agreement` and resolve it with procurement before relying on it.

Step 2 — Assess: read the deployed position (assigned side)

1. In `https://admin.microsoft.com`, open Billing then Your products to see subscriptions and total quantities, and Billing then Licenses to see assigned counts per product.

1. For the authoritative machine-readable count, run `MSLICGOV-Discovery.ps1` (read-only) to enumerate `subscribedSkus` and assigned/consumed units per SKU.

1. Enter the assigned quantity for each product into the `License Position Register – EA+CSP – Steady-State`. The position column is owned minus assigned.

Step 3 — Map deployment and growth

1. For each product, compare assigned vs owned. Positive position is headroom; negative is exposure.

2. Add expected growth (new hires, projects) from the procurement/finance calendar to a planned column, so the register reflects the trajectory, not just today.

1. For per-user products, layer in utilization: use the usage/sign-in signal (Requirement 2.5) to flag assigned-but-unused seats as reharvest candidates.

Step 4 — Model true-up exposure (EA)

1. Open the `True-Up Worksheet – Enterprise Agreement – Annual`. For each EA product, record the committed baseline, the current assigned count, and the difference (assigned minus baseline).

1. Run `MSLICGOV-Validation.ps1` (read-only) to compute, per EA SKU, the assigned-vs-baseline delta from the tenant — the forecast true-up quantity. Supply your baselines via the worksheet/CSV input.

1. The positive delta is your forecast true-up; reductions are not trued down mid-term (defer to renewal). Confirm the true-up window and process with your agreement/partner before reporting.

Step 5 — Set renewal and right-sizing decisions

1. In the `Renewal Decision Log – EA+CSP – Per-Cycle`, for each product record: current quantity, utilization, recommended renewal quantity, and channel recommendation (keep EA, move to CSP, or split).

1. Right-size: reduce over-bought products at the next allowed point (renewal for EA; the defined adjustment point for CSP per the partner terms) and reharvest unused seats now via Step 6.

1. Defer all pricing and final quantities to procurement and the agreement; the log captures the recommendation and its rationale, not a negotiated price.

Step 6 — Build governance-scope groups and remediate safely

1. Create the scope groups in `https://entra.microsoft.com` then Groups then New group (Security):

`License Governance – Pilot Scope – Stage1` (the pilot product family/department) and `License Governance – Estate Scope – Stage2` (the remainder). Use `MSLICGOV-Set-ScopeTargeting.ps1` to create them and seed membership from a filter.

1. Remediate mis-assignments (for example, a user holding a license they do not use, or a duplicate

product) with `MSLICGOV-Remediation.ps1`. It defaults to `-WhatIf` — review the planned changes, then re-run with `-Confirm` only on the pilot scope first.

Step 7 — Pilot: validate the position on the pilot scope (GATE)

1. Run `MSLICGOV-Report.ps1` scoped to `License Governance – Pilot Scope – Stage1` to produce the

pilot's license-position and cost report.

1. Confirm the register, true-up worksheet, and report agree for the pilot products. Complete the

Testing Guide.

1. Gate: do not proceed to estate-wide action until the pilot's owned/assigned/position numbers

reconcile and at least one reharvest or right-size action has been validated without disruption.

Step 8 — Establish the governance cadence and KPIs

1. Stand up the `Cost Governance Cadence – Tenant-Wide – Ongoing`: a monthly operational review

(assignments, reharvest), a quarterly strategic review (position vs growth), and an annual review at renewal/true-up.

1. Adopt the `Licensing KPI Set – Governance – Standard`: License Position, Assignment Utilization,

True-Up Exposure, Renewal Variance, Reharvest Yield. Record the baseline values now.

Step 9 — Expand: apply estate-wide

1. Extend the register, worksheet, and cadence from the pilot scope to

`License Governance – Estate Scope – Stage2`, repeating Steps 2 to 6 for all products.

1. Re-run `MSLICGOV-Report.ps1` estate-wide each cadence cycle and update the KPI set.
2. Feed the renewal/true-up decisions to procurement ahead of each window.

Order of operations

```
Inventory entitlements (owned) -> Read deployment (assigned) -> Map growth ->
Model true-up -> Renewal/right-size decisions -> Scope groups + remediate ->
Pilot gate -> Cadence + KPIs -> Expand
```

5. Testing Guide — Microsoft Licensing Cost Governance (EA, CSP & True-Up Readiness)

Run these after the pilot scope is built (Implementation Step 7) and again each governance cadence cycle. Use `MSLICGOV-Discovery.ps1` and `MSLICGOV-Validation.ps1` for tenant reads and `MSLICGOV-Report.ps1` for the position/cost report.

Test 1 — Entitlements captured (owned side)

Do: Open the `License Position Register – EA+CSP – Steady-State`. Expected: Every pilot product has an owned quantity, a channel (EA or CSP), and a renewal/anniversary date sourced from the agreement (no blank or assumed terms).

Test 2 — Deployment read (assigned side)

Do: Run `MSLICGOV-Discovery.ps1` and compare its assigned/consumed counts to Billing then Licenses in `https://admin.microsoft.com`. Expected: Script counts match the admin center for the pilot products; assigned column in the register is populated from these.

Test 3 — Position reconciles

Do: For each pilot product confirm position equals owned minus assigned in the register. Expected: Position is correct and signed (positive is headroom, negative is exposure); no product is left unreconciled.

Test 4 — True-up exposure forecast (EA)

Do: Run `MSLICGOV-Validation.ps1` with the EA baselines supplied; compare to the `True-Up Worksheet – Enterprise Agreement – Annual`. Expected: Per EA SKU, assigned-minus-baseline delta matches the worksheet; the forecast true-up quantity is stated. CSP products correctly show no true-up.

Test 5 — Utilization and reharvest candidates

Do: Run `MSLICGOV-Report.ps1`; review assigned-but-unused seats. Expected: A list of reharvest candidates with a utilization signal; at least one is validated as genuinely unused before remediation.

Test 6 — Safe remediation preview

Do: Run `MSLICGOV-Remediation.ps1` (default `-WhatIf`) against the pilot scope. Expected: It prints the planned changes only and makes no change; re-running with `-Confirm` applies exactly those changes on the pilot scope.

Test 7 — Scope targeting

Do: Run `MSLICGOV-Set-ScopeTargeting.ps1` and confirm in `https://entra.microsoft.com` then Groups. Expected: `License Governance – Pilot Scope – Stage1` and `License Governance – Estate Scope – Stage2` exist with the intended membership.

Test 8 — Position/cost report

Do: Run `MSLICGOV-Report.ps1` scoped to the pilot. Expected: A per-product report (owned, assigned, position, utilization) that agrees with the register and the worksheet.

Pass/fail gate

Gate	Requirement
Pilot pass	Tests 1 to 4 and Test 8 pass for the pilot scope; at least one reharvest/right-size action validated (Tests 5 to 6) without disruption
Estate pass	Tests 1 to 4, 7, 8 pass estate-wide before the next renewal/true-up window

6. Troubleshooting Guide — Microsoft Licensing Cost Governance (EA, CSP & True-Up Readiness)

Use `MSLICGOV-Discovery.ps1` and `MSLICGOV-Validation.ps1` for tenant reads, `MSLICGOV-Report.ps1` for the position/cost report, and `MSLICGOV-Remediation.ps1` (default `-WhatIf`) for safe fixes.

A. Script counts do not match the admin center

Symptom	Cause	Remediation
Assigned count differs from Billing then Licenses	Stale read, or group-based licensing still processing	Re-run `MSLICGOV-Discovery.ps1`; allow group-based assignments to finish; reconcile per-user vs group counts
`Get-MgSubscribedSku` returns nothing	Not connected, or missing scope	Run `Connect-MgGraph -Scopes 'Organization.Read.All','User.Read.All'` and retry
Friendly product names missing	SKU part numbers not mapped	Map `skuPartNumber` to product names in the register; the script reports the raw part number

B. Position looks wrong

Symptom	Cause	Remediation
Position negative but no shortfall expected	Owned quantity missing/under-recorded	Confirm the owned count from the agreement (Requirement 2.3); update the register

Symptom	Cause	Remediation
Position hugely positive	Counting CSP and EA owned twice, or shelfware	Verify channel per product; flag surplus as reharvest/right-size in the decision log
Numbers drift between cycles	No cadence; assignments creep	Run the `Cost Governance Cadence – Tenant-Wide – Ongoing` on schedule

C. True-up exposure questions

• True-up reports a large delta: confirm the committed baseline you supplied matches the agreement; the delta is assigned minus baseline, not assigned minus zero.

• Expecting to reduce at true-up: you cannot true down mid-term; record the reduction in the `Renewal Decision Log – EA+CSP – Per-Cycle` for the next renewal.

• CSP product appears in true-up output: CSP has no true-up — exclude CSP SKUs from the EA worksheet; confirm the channel column is correct.

• Unsure of the true-up window or process: defer to the agreement and your licensing partner; do not report against an assumed window.

D. Remediation concerns

• Remediation made no change: that is correct in `-WhatIf` mode (the default). Review the planned output, then re-run with `-Confirm` on the pilot scope first.

• Removed a license a user actually needed: restore by re-assigning in `https://admin.microsoft.com` then Billing then Licenses; always confirm a utilization signal (Requirement 2.5) before removal.

E. Scope groups / targeting

• Group not appearing: allow Entra replication; re-run `MSLICGOV-Set-ScopeTargeting.ps1`; confirm the account has Groups Administrator or equivalent.

• Wrong membership: review the seeding filter; membership for the named groups (`License Governance – Pilot Scope – Stage1`, `License Governance – Estate Scope – Stage2`) should match the pilot vs estate split.

F. Diagnostics quick reference

```
Connect-MgGraph -Scopes 'Organization.Read.All','User.Read.All'
Get-MgSubscribedSku | Select-Object SkuPartNumber, @{n='Owned';e={$_.PrepaidUnits.Enabled}}, ConsumedUnits
```

```
Get-MgUser -All -Property AssignedLicenses,UserPrincipalName | Select-Object UserPrincipalName, AssignedLi
```

G. When to escalate

If tenant reads match the admin center, the register's owned counts are confirmed from the agreement, and a position or true-up figure still cannot be reconciled, take the `License Position Register – EA+CSP – Steady-State` and the `True-Up Worksheet – Enterprise Agreement – Annual` to procurement and your licensing partner — the remaining gap is a commercial/agreement question, not a tenant data question.

7. Best Practices — Microsoft Licensing Cost Governance (EA, CSP & True-Up Readiness)

- Maintain one license position. The `License Position Register – EA+CSP – Steady-State` is the

single source of truth that reconciles owned to assigned across both channels. Everything else references it.

- Own the true-up before it owns you. Keep the `True-Up Worksheet – Enterprise Agreement – Annual`

current year-round so the anniversary report is a confirmation, not a discovery. Remember you can true up but not true down mid-term — reductions wait for renewal.

- Source terms from the agreement, never from memory. Owned quantities, baselines, anniversary

dates, and adjustment points come from the signed EA/CSP agreement and procurement — confirm, don't assume.

- Right-channel each product. EA suits a stable, large core; CSP suits variable headcount and

granular add-ons. Record a channel recommendation per product in the `Renewal Decision Log – EA+CSP – Per-Cycle` and revisit it each cycle.

- Reharvest continuously. Assigned-but-unused seats are pure waste; reclaim them every cadence cycle

and track Reharvest Yield to prove the governance pays for itself.

- Pilot before estate-wide. Prove the position, the numbers, and at least one right-size action on

`License Governance – Pilot Scope – Stage1` before touching the estate.

- Remediate with a preview. Always run remediation in `-WhatIf` first; apply with `-Confirm` on the

pilot scope before the estate. Never bulk-remove licenses without a utilization signal.

- Run a cadence, not a project. The `Cost Governance Cadence – Tenant-Wide – Ongoing` (monthly,

quarterly, annual) keeps the position from drifting back out of control.

- Measure with the standard KPIs. Track the `Licensing KPI Set – Governance – Standard` (License

Position, Assignment Utilization, True-Up Exposure, Renewal Variance, Reharvest Yield) and watch the trend, not just the snapshot.

• Align procurement and finance to the calendar. A known position only saves money if a decision-maker acts before the renewal/true-up window. Keep those dates in the register and brief owners ahead of time.

• Keep buffers small and deliberate. A modest positive position absorbs growth without over-buying; a large surplus is just early renewal money spent on shelfware.

8. Deliverables Summary — Microsoft Licensing Cost Governance (EA, CSP & True-Up Readiness)

Documentation

Document	Purpose
Executive Summary	Business case and what is in the box
1. Solution Overview	The EA vs CSP models, how true-ups work, entitlement-to-deployment mapping, the cadence and KPIs, benefits and limits
2. Requirements Guide	Every prerequisite with Verify / Implement-if-missing
Global Requirements (Asset Mgt)	Category-wide prerequisites, published once
3. Implementation Guide	Exact, ordered steps from inventory to cadence, with a pilot gate
5. Testing Guide	Validation procedures with pass/fail gates
6. Troubleshooting Guide	Field issues and remediation
7. Best Practices	Field-proven recommendations

Named artifacts produced

Artifact	Purpose
`License Position Register – EA+CSP – Steady-State`	Single source of truth reconciling owned to assigned per product/channel
`True-Up Worksheet – Enterprise Agreement – Annual`	Forecasts EA true-up exposure year-round
`Renewal Decision Log – EA+CSP – Per-Cycle`	Records right-size and channel recommendations per cycle
`Cost Governance Cadence – Tenant-Wide – Ongoing`	The recurring monthly/quarterly/annual review
`Licensing KPI Set – Governance – Standard`	The five governance KPIs and their baselines

PowerShell scripts

Script	What it does
`MSLICGOV-Discovery.ps1`	Reads `subscribedSkus` and assigned/consumed units per SKU via Microsoft Graph (read-only)
`MSLICGOV-Validation.ps1`	Computes per-SKU assigned-vs-committed-baseline delta — the forecast true-up exposure (read-only)
`MSLICGOV-Report.ps1`	Produces the per-product license-position and cost report with utilization (read-only)
`MSLICGOV-Remediation.ps1`	Safely remediates mis-assignments; defaults to `-WhatIf`
`MSLICGOV-Set-ScopeTargeting.ps1`	Creates and seeds the governance-scope groups

What the buyer receives

- This implementation guide as a branded Word document and PDF.
- All five PowerShell scripts in a single ZIP.
- A repeatable process following the model: Assess to Configure to Pilot to Validate to Expand.

Outcome

Microsoft licensing governed across EA and CSP — a known position, predictable true-ups, right-sized renewals, and an ongoing cadence with KPIs — proven on a pilot before it scales.

Appendix A — PowerShell Scripts

Included in the accompanying ZIP. Each script's header documents full usage.

MSLICGOV-Discovery.ps1

Purpose: Enumerates the tenant's subscribed SKUs (owned/prepaid units, consumed units, warning units) via Microsoft Graph, so you can capture the deployed/assigned side of the license position into the License Position Register. Read-only. HOW TO RUN powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Discovery.ps1 -CsvPath C:\Temp\skus.csv Requires the Microsoft Graph PowerShell SDK and the Organization.Read.All scope. EXPECTED RESULTS A per-SKU table (part number, enabled/prepaid units, consumed units, available) and an optional CSV. No tenant changes are made. .NOTES Workplace Marketplace — Asset Mgt. Read-only against Microsoft Graph. #> [CmdletBinding()] param([string]$CsvPath)

How to run: powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Discovery.ps1 -CsvPath C:\Temp\skus.csv Requires the Microsoft Graph PowerShell SDK and the Organization.Read.All scope. EXPECTED RESULTS A per-SKU table (part number, enabled/prepaid units, consumed units, available) and an optional CSV. No tenant changes are made. .NOTES Workplace Marketplace — Asset Mgt. Read-only against Microsoft Graph. #> [CmdletBinding()] param([string]$CsvPath)

MSLICGOV-Remediation.ps1

Purpose: Reclaims (reharvests) a license SKU from a supplied list of users — for example, the assigned-but-inactive reharvest candidates from MSLICGOV-Report.ps1. Defaults to -WhatIf so nothing changes until you review the plan and re-run with -Confirm. Always validate a utilization signal before reclaiming. HOW TO RUN Preview (default, no change): powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Remediation.ps1 -SkuPartNumber ENTERPRISEPACK -UserCsv C:\Temp\reharvest.csv Apply (after review), on the pilot scope first: powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Remediation.ps1 -SkuPartNumber ENTERPRISEPACK -UserCsv C:\Temp\reharvest.csv -Confirm UserCsv needs a UserPrincipalName column. Requires the Microsoft Graph PowerShell SDK and the Organization.Read.All and User.ReadWrite.All scopes. EXPECTED RESULTS In -WhatIf: a list of users that WOULD lose the license, no change made. With -Confirm: the license is removed from each listed user; a summary is printed. .NOTES Workplace Marketplace — Asset Mgt. Makes changes only when -Confirm is supplied. #> [CmdletBinding(SupportsShouldProcess = $true, ConfirmImpact = 'High')] param([Parameter(Mandatory)][string]$SkuPartNumber, [Parameter(Mandatory)][string]$UserCsv)

How to run: Preview (default, no change): powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Remediation.ps1 -SkuPartNumber ENTERPRISEPACK -UserCsv C:\Temp\reharvest.csv Apply (after review), on the pilot scope first: powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Remediation.ps1 -SkuPartNumber ENTERPRISEPACK -UserCsv C:\Temp\reharvest.csv -Confirm UserCsv needs a UserPrincipalName column. Requires the Microsoft Graph PowerShell SDK and the Organization.Read.All and User.ReadWrite.All scopes. EXPECTED RESULTS In -WhatIf: a list of users that WOULD lose the license, no change made. With -Confirm: the license is removed from each listed user; a summary is printed. .NOTES Workplace Marketplace — Asset Mgt. Makes changes only when -Confirm is supplied. #> [CmdletBinding(SupportsShouldProcess = $true, ConfirmImpact = 'High')] param([Parameter(Mandatory)][string]$SkuPartNumber, [Parameter(Mandatory)][string]$UserCsv)

MSLICGOV-Report.ps1

Purpose: Produces the per-SKU license position (owned/prepaid vs assigned/consumed vs available) and, where a sign-in signal is available, flags assigned-but-inactive users as reharvest candidates. Feeds the License Position Register and the KPI set. Read-only. HOW TO RUN powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Report.ps1 -CsvPath C:\Temp\position.csv -InactiveDays 60 Requires the Microsoft Graph PowerShell SDK and the Organization.Read.All and AuditLog.Read.All (for sign-in activity) and User.Read.All scopes. EXPECTED RESULTS A per-SKU position table, a total, and a count of reharvest candidates. Optional CSV. No tenant changes are made. .NOTES Workplace Marketplace — Asset Mgt. Read-only against Microsoft Graph. #> [CmdletBinding()] param([string]$CsvPath,[int]$InactiveDays = 60)

How to run: powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Report.ps1 -CsvPath C:\Temp\position.csv -InactiveDays 60 Requires the Microsoft Graph PowerShell SDK and the Organization.Read.All and AuditLog.Read.All (for sign-in activity) and User.Read.All scopes. EXPECTED RESULTS A per-SKU position table, a total, and a count of reharvest candidates. Optional CSV. No tenant changes are made. .NOTES Workplace Marketplace — Asset Mgt. Read-only against Microsoft Graph. #> [CmdletBinding()] param([string]$CsvPath,[int]$InactiveDays = 60)

MSLICGOV-Set-ScopeTargeting.ps1

Purpose: Creates (idempotently) the two security groups that scope licensing cost governance: 'License Governance - Pilot Scope - Stage1' and 'License Governance - Estate Scope - Stage2'. Optionally seeds the pilot group from a CSV of user principal names so the pilot scope is ready for the position read and remediation steps. HOW TO RUN powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Set-ScopeTargeting.ps1 Seed the pilot group: powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Set-ScopeTargeting.ps1 -PilotMembersCsv C:\Temp\pilot.csv PilotMembersCsv needs a UserPrincipalName column. Requires the Microsoft Graph PowerShell SDK and the Group.ReadWrite.All and User.Read.All scopes. EXPECTED RESULTS Both groups exist (created if missing, reused if present); the pilot group is seeded if a CSV is supplied. Group object IDs are printed for use in the register. .NOTES Workplace Marketplace — Asset Mgt. Creates/updates Entra groups. #> [CmdletBinding()] param([string]$PilotMembersCsv)

How to run: powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Set-ScopeTargeting.ps1 Seed the pilot group: powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Set-ScopeTargeting.ps1 -PilotMembersCsv C:\Temp\pilot.csv PilotMembersCsv needs a UserPrincipalName column. Requires the Microsoft Graph PowerShell SDK and the Group.ReadWrite.All and User.Read.All scopes. EXPECTED RESULTS Both groups exist (created if missing, reused if present); the pilot group is seeded if a CSV is supplied. Group object IDs are printed for use in the register. .NOTES Workplace Marketplace — Asset Mgt. Creates/updates Entra groups. #> [CmdletBinding()] param([string]$PilotMembersCsv)

MSLICGOV-Validation.ps1

Purpose: Reads the tenant's consumed (assigned) units per SKU via Microsoft Graph and compares each to the committed EA baseline you supply (from the agreement), producing the per-SKU true-up delta = assigned minus baseline. A positive delta is the forecast true-up quantity; a negative delta cannot be trued down mid-term (record it for renewal). Read-only. HOW TO RUN Provide a baseline CSV with columns: SkuPartNumber,Baseline,Channel powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Validation.ps1 -BaselineCsv C:\Temp\baseline.csv Requires the Microsoft Graph PowerShell SDK and the Organization.Read.All scope. Baselines come from the EA agreement; CSP rows (Channel=CSP) are excluded from true-up. EXPECTED RESULTS A per-EA-SKU table: assigned, baseline, true-up delta.

CSP SKUs reported as no-true-up. No tenant changes are made. .NOTES Workplace Marketplace — Asset Mgt. Read-only against Microsoft Graph. #> [CmdletBinding()] param([Parameter(Mandatory)][string]$BaselineCsv)

How to run: Provide a baseline CSV with columns: SkuPartNumber,Baseline,Channel powershell -ExecutionPolicy Bypass -File .\MSLICGOV-Validation.ps1 -BaselineCsv C:\Temp\baseline.csv Requires the Microsoft Graph PowerShell SDK and the Organization.Read.All scope. Baselines come from the EA agreement; CSP rows (Channel=CSP) are excluded from true-up. EXPECTED RESULTS A per-EA-SKU table: assigned, baseline, true-up delta. CSP SKUs reported as no-true-up. No tenant changes are made. .NOTES Workplace Marketplace — Asset Mgt. Read-only against Microsoft Graph. #> [CmdletBinding()] param([Parameter(Mandatory)][string]$BaselineCsv)